

Duration. Flags can masquerade as short rectangles, so I place a limit on their length of 3 weeks. Patterns longer than that are rectangles. Patterns shorter than that can also be rectangles, providing there is no flagpole attached to the pattern. A flagpole is a straight-line run up or down followed by the flag. Without a flagpole, you don't have a flag. You have a rectangle.

[Figure 52.2](#) shows what a rectangle top looks like. Price trends upward leading to the rectangle. Then the stock bounces between support at 54 and overhead resistance at 59.50. The wide, tall rectangle has plenty of trendline touches. If you are lucky, you might be able to get two or three trades from this pattern (as marked by the numbers on the figure). Each top-to-bottom pass represents a price change of about \$5, plenty of profit opportunity to be of interest to experienced swing traders.

The volume pattern trends downward over the length of the chart pattern. Near the end of the pattern, volume spurts upward, propelling price higher until the stock breaks out and zooms to new a high. Statistics suggest that the majority of rectangles have receding volume trends. I would not exclude a rectangle top simply because it has a rising volume trend. If you see a tattoo, though, then that's another story. I don't like tattoos.